

LECTURE POINTS

Neo-Liberal Governance and Poverty in Pakistan

1. Introduction

Poverty and inequality in Pakistan did not start recently. Their roots go back to the colonial period, when the Indian subcontinent was ruled by the British Empire.

➤ **Colonial Economic Structure**

During colonial rule, the economic system was designed mainly to benefit the colonial rulers rather than the local population.

Key features of the colonial economy included:

1. **Extraction of resources**
Raw materials such as cotton, wheat, minerals, and agricultural products were taken from the colony and sent to Britain.
2. **Weak local industries**
Local industries such as textile production declined because British manufactured goods flooded the market.
3. **Agriculture for export**
Farmers were encouraged to grow cash crops (like cotton and indigo) instead of food crops, which often caused food shortages.

This process is called accumulation by dispossession, meaning wealth is taken from local populations and transferred to powerful groups.

➤ **After Independence**

When Pakistan became independent in Partition of India, many people hoped that economic independence would follow.

However, several problems remained:

- Pakistan inherited a weak industrial base.
- The country lacked financial resources and technology.
- It had to rely on foreign aid and loans.

As a result, the global economic system continued to influence Pakistan's economic decisions.

➤ **Dependence on Global Capitalism**

Pakistan gradually became dependent on global financial institutions and international markets.

Important factors include:

1. **Foreign Direct Investment (FDI)**

Foreign companies invest money in Pakistan's industries and businesses.

2. **International Loans**

Pakistan frequently borrows money from international institutions.

3. **Global Trade System**

Trade rules are often controlled by developed countries, which benefit more from international trade.

Because of this dependence, Pakistan sometimes has limited freedom to design its own economic policies.

➤ **Role of Local Elite**

Another important factor is the role of the local political and economic elite.

These elites often support neoliberal policies because they benefit from them.

Examples of benefits:

- ownership of privatized industries
- partnerships with multinational corporations
- access to foreign investment.

This creates a system where economic policies often favor wealthy groups instead of the general population.

➤ **Recent Causes of Poverty Increase in Pakistan**

Two important economic developments have recently increased poverty.

1. **Food Inflation**

Prices of essential food items increased significantly.

Examples:

- wheat flour
- rice
- cooking oil
- vegetables

Poor households spend 60–70% of their income on food, so rising prices affect them severely.

For example:

If a poor family earns 30,000 PKR per month and food prices double, they may struggle to afford basic meals.

2. **Increase in Energy Prices**

Global oil prices increased, which raised the cost of:

- petrol
- electricity
- transportation.

Because Pakistan imports a large amount of oil, higher international prices increase domestic costs.

For example:

- electricity bills increase
- transport fares rise
- production costs for industries grow.

This raises the overall cost of living.

2. Disciplinary Neoliberalism – A New Phase of Capitalism

Many scholars believe neoliberalism is a modern stage of capitalism.

➤ Classical Criticism of Capitalism

The philosopher **Karl Marx** argued that capitalism naturally produces inequality.

According to Marx, society is divided into two major classes:

1. **Bourgeoisie**
 - owners of factories and capital
 - control wealth and production.
2. **Proletariat**
 - workers who sell their labor
 - depend on wages to survive.

Example:

A factory owner earns millions in profit while workers receive low wages.

Another thinker, **Vladimir Lenin**, argued that capitalism eventually expands globally through imperialism.

He believed powerful countries dominate weaker countries economically.

➤ Historical Phases of Capitalism

Capitalism has evolved over time.

1. Mercantilism (16th–18th century)

- Countries tried to accumulate gold and silver.

- Trade colonies were established to control resources.

Example: European countries colonized Asia and Africa.

2. Industrial Capitalism (19th century)

The **Industrial Revolution** introduced factories and large-scale production.

Effects:

- rapid urbanization
- expansion of industries
- rise of factory labor.

3. Welfare Capitalism (Post-World War II)

After World War II, many governments created welfare systems.

These included:

- social security
- public healthcare
- unemployment benefits
- free education.

Purpose:

To reduce inequality and provide social protection.

4. Neoliberal Capitalism (After 1970s)

From the 1970s onwards, many governments reduced state control over the economy.

Key ideas:

- free markets
- privatization
- limited government intervention.

Economic Crisis of the 1970s

Advanced capitalist economies faced a crisis called **overaccumulation**.

This means:

- companies had too much capital
- but not enough profitable investment opportunities.

As a result:

- unemployment increased
- economic growth slowed.

To solve this problem, companies searched for new markets in developing countries.

Neoliberalism became a strategy to expand capitalism globally.

3. Accumulation by Dispossession

The concept of accumulation by dispossession was developed by David Harvey.

It explains how wealth is transferred from the public to private individuals.

➤ Meaning

Accumulation by dispossession means:

Wealth is created by taking public resources and transferring them to private owners.

This often happens through government policies.

➤ Major Methods of Accumulation by Dispossession

1. Privatization of Public Property

Government enterprises are sold to private companies.

Example:

Electricity companies or airlines are sold to private investors.

2. Land Dispossession

Farmers may lose land due to development projects.

Example:

Land is taken for industrial zones or housing societies.

Small farmers may be forced to migrate to cities.

3. Conversion of Public Resources

Natural resources such as:

- forests
- water
- minerals

may become privately owned.

Example:

Private companies controlling water supply systems.

4. Commodification of Labor

Labor becomes a **commodity** that can be bought and sold.

Workers compete for jobs and wages often remain low.

Example:

Contract labor instead of permanent jobs.

5. Debt and Financial Systems

Developing countries take loans and must repay them with interest.

Large portions of national budgets go toward debt repayment.

6. Taxation Policies

Tax systems may favor wealthy groups.

Example:

Indirect taxes like sales tax affect poor people more because they pay the same price as rich consumers.

➤ Role of the State

The government plays a key role in this process.

It does this by:

- passing laws supporting private ownership
- encouraging foreign investment
- implementing privatization policies.

Thus, the state sometimes supports corporate interests rather than public welfare.

4. Introduction of Neoliberalism in Pakistan

Neoliberal policies were introduced in Pakistan during the late 1980s.

Pakistan adopted these reforms mainly due to pressure from international financial institutions.

Two major institutions involved are:

- International Monetary Fund
- World Bank

These organizations provide loans but require economic reforms.

➤ **IMF Loan Programs for Pakistan**

Pakistan has participated in several IMF programs, including:

1. Stand-By Arrangements (SBA)
2. Structural Adjustment Programs (SAP)
3. Poverty Reduction and Growth Facility (PRGF)
4. Extended Structural Adjustment Programs

These programs require policy changes such as:

- reducing subsidies
- increasing taxes
- privatizing state enterprises.

5. Core Policies of Neoliberalism

Neoliberal economic policy is based on three main principles:

1. Liberalization
2. Privatization
3. Deregulation

These policies aim to make markets operate freely with minimal government interference.

6. Liberalization

➤ **Meaning**

Liberalization means reducing government restrictions on economic activities.

It includes:

- reducing tariffs on imports
- allowing foreign companies to operate freely
- encouraging international trade.

➤ **Expected Benefits**

Supporters believe liberalization will:

- increase competition
- improve product quality
- attract foreign investment
- promote economic growth.

➤ **Reality in Pakistan**

Pakistan opened its markets while domestic industries were still weak.

As a result:

- cheap imported goods flooded the market
- local industries struggled to compete.

Example:

Local toy or electronics manufacturers cannot compete with cheaper imported products from China.

This leads to:

- factory closures
- unemployment.

7. Privatization

➤ **Meaning**

Privatization means transferring government-owned businesses to private ownership.

Governments argue that private companies operate more efficiently.

➤ **Privatization in Pakistan**

Pakistan has privatized many enterprises since the 1990s.

Goals included:

- reducing government losses
- increasing efficiency
- attracting foreign investors.

Example: KESC

The Karachi Electric Supply Corporation was privatized in 2005.

Reasons included:

- electricity theft
- financial losses.

However, after privatization:

- electricity prices increased
- service quality remained inconsistent.

Example: PTCL

The Pakistan Telecommunication Company Limited was privatized in 2006.

Problems included:

- company sold at a low price
- thousands of employees lost jobs through Voluntary Separation Schemes.

8. Deregulation

➤ Meaning

Deregulation means reducing government rules that control business activities.

Businesses get more freedom in:

- pricing
- hiring workers
- production decisions.

Examples

- removing price controls on fuel
- reducing labor protections
- eliminating government subsidies.

➤ Possible Negative Effects

While deregulation encourages investment, it can also lead to:

- worker exploitation
- environmental damage
- monopolies.

Example:

Large companies dominating markets and eliminating smaller competitors.

9. Structural Adjustment Programs (SAP)

During the 1990s Pakistan implemented Structural Adjustment Programs.

These were recommended by the International Monetary Fund and World Bank.

➤ Main Objectives

1. reduce government spending
2. privatize public enterprises
3. promote export-oriented growth

4. open markets to international trade.

➤ **Impact**

SAP often resulted in:

- higher unemployment
- reduced welfare programs
- increased poverty.

Example:

Government cuts spending on education and healthcare to reduce budget deficits.

10. Impact on Agriculture

Agriculture is a key sector in Pakistan.

However, neoliberal reforms affected it negatively.

Key Changes

- reduction of fertilizer subsidies
- reduced government support for farmers
- increased competition from imported agricultural goods.

Result

Small farmers faced:

- higher production costs
- lower profits.

Many farmers sold land and moved to cities for work.

Large corporations began controlling agricultural land.

11. Social Restructuring

Neoliberalism changed Pakistan's social structure.

Society can now be divided into four groups.

1. Elite Class

- extremely wealthy
- control large businesses and industries
- influence politics.

2. Culture of Contentment

Middle-class professionals who benefit from globalization.

Examples:

- corporate employees
- bank officers
- IT professionals.

3. Vulnerable Workers

People with unstable jobs.

Examples:

- contract workers
- daily wage laborers.

4. Marginalized Poor

People excluded from economic opportunities.

Examples:

- slum dwellers
- unemployed youth.

12. Human Insecurity

Neoliberal policies can create different forms of insecurity.

Types

1. **Job insecurity**
 - temporary jobs
 - layoffs during economic crises.
2. **Health insecurity**
 - expensive private hospitals.
3. **Education insecurity**
 - high fees in private schools.
4. **Food insecurity**
 - inability to afford nutritious food.
5. **Environmental insecurity**
 - pollution from industrial expansion.

13. Increasing Inequality

One major effect of neoliberal policies is growing inequality.

In Pakistan:

- wealth is concentrated among a small elite
- poor people struggle to meet basic needs.

Example:

Luxury housing societies grow while slums expand nearby.

14. Decline in Public Spending

Government spending on social welfare has declined.

Large portions of the national budget go to:

1. debt repayment
2. defense spending
3. administrative expenses.

As a result:

- public schools remain underfunded
- healthcare systems remain weak.

15. Resistance to Neoliberalism

Many scholars criticize neoliberalism.

They argue it increases poverty and inequality.

Suggested Alternatives

1. **Strengthen the welfare state**
 - increase spending on health and education.
2. **Reform international financial institutions**
 - make policies more suitable for developing countries.
3. **Local development strategies**
 - policies based on national conditions rather than global models.

16. Political Resistance in Pakistan

One major political movement was the Lawyers' Movement.

It protested against political interference in the judiciary.

Key Issues

- removal of Iftikhar Muhammad Chaudhry
- privatization controversies involving Pakistan Steel Mills.

Role of Media

Independent media helped mobilize public opinion and organize protests.

Outcome

- restoration of the judiciary
- strengthening of democratic institutions.

17. Privatization of Security

Another neoliberal trend is privatization of security.

Example:

More than 600 private security companies operate in Pakistan.

These companies provide:

- security guards
- surveillance services
- protection for businesses and individuals.

This shows how even traditional government functions are being transferred to private companies.

Conclusion

Neoliberal governance has significantly shaped Pakistan's economic and social structure.

Although it aimed to promote economic growth, it has also created several challenges:

- increasing poverty
- widening inequality
- privatization of public resources
- weakening of welfare policies.

Today, policymakers and scholars debate whether Pakistan should continue with neoliberal policies or adopt alternative development strategies focused on social welfare and economic independence.